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Vanguard International Semiconductor | Asia Pacific

Strong demand but margin headwinds ahead; UW

AlphaSignals Earnings Reaction

Unchanged
Impact to our thesis

— In-line
Financial results versus consensus

Modest revision lower
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q26 results were in-line with both MSe and consensus.
- VSMC break-even point could be slightly earlier than 30kwpm thanks to the higher value that interposer carries.
- 4Q26 revenue could be up mid-single digit QoQ with gross margin at 34-36%.
- We stay UW given margin pressure from VSMC into 2027.

2027 margin could be under pressure from depreciation: With the ramp up of the new Singapore fab (VSMC), the company expected depreciation to increase in 2027, however, the company did not share the margin dilution guidance. As we noted in a previous report, we still expect the margin dilution from the Singapore capacity could be high-single digit for 2027, higher than investors' expectation of low-mid single digit.

2027 demand remains strong: Despite the slowdown of non-AI demand, the company expects both 8-inch and 12-inch loading rate to be >90% in 2027 and the company is under capacity conversion and hopes to keep pushing up the utilization by capacity optimization. 2027 AI related revenue could also see a significant increase from interposer production, which could be 20-30% of 2027 revenue, in our view.

4Q26 revenue could be up mid-single digit QoQ: The company guided 4Q26 wafer shipments to be flat to up 2% QoQ given the bottleneck from certain equipment, but wafer ASP could increase by 3-5% QoQ. Guidance is slightly higher than our 3% QoQ revenue growth forecast.

Exhibit 1: Vanguard 3Q26 Earnings Review

(NT$ mn)	3Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	15,702	10.2%	27.2%	15,702	15,485
Opex	(1,813)	6.4%	22.5%	(1,822)	(1,865)
EPS (NT$)	1.62	4.2%	78.9%	1.62	1.58
Ratios					
GM (%)	33.6%	132bps	682bps	33.4%	33.5%
Opex (%)	11.5%	-41bps	-44bps	11.6%	12.0%
OPM (%)	22.1%	173bps	726bps	21.8%	21.5%

Source: Company Data,

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Vanguard International Semiconductor (5347.TWO, 5347 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Underweight**
Industry View	**Attractive**
Price target	NT$135.00
Up/downside to price target (%)	13
Shr price, close (Nov 6, 2026)	NT$120.00
52-Week Range	NT$223.00-87.60
Sh out, dil, curr (mn)	1,858
Mkt cap, curr (mn)	NT$223,009
EV, curr (mn)	NT$200,463
Avg daily trading value (mn)	NT$3,568

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	4.18	6.06	6.16	7.92
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	4.32	6.01	7.58	9.45
Revenue, net (NT$ mn)	48,591	58,598	77,345	93,859
EBITDA (NT$ mn)	16,326	21,887	30,365	37,115

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ModelWare net inc (NT $ mn)	7,770	11,276	11,466	14,747
P/E	22.0	19.8	19.5	15.1
P/BV	2.0	2.5	2.5	2.3
ROE (%)	11.3	13.5	13.2	16.4
EV/EBITDA	9.0	11.4	8.1	6.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Vanguard International Semiconductor (5347.TWO)

Base case, residual income model. Key assumptions: a cost of equity of 9.2%, a medium-term growth rate of 10.5%, and a terminal growth rate of 4.0%.

Risks to Upside

- Stronger-than-expected LCD driver IC demand
- Loosened competition in power semi business
- Faster-than-expected EV penetration
- Inability of IDM customers to move production in-house

Risks to Downside

- Inability to fully utilize VSMC 12-inch investment
- Weaker-than-expected LCD driver IC demand
- Intensified competition in power semi business
- Slower-than-expected EV penetration
- IDM customers moving production in-house

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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

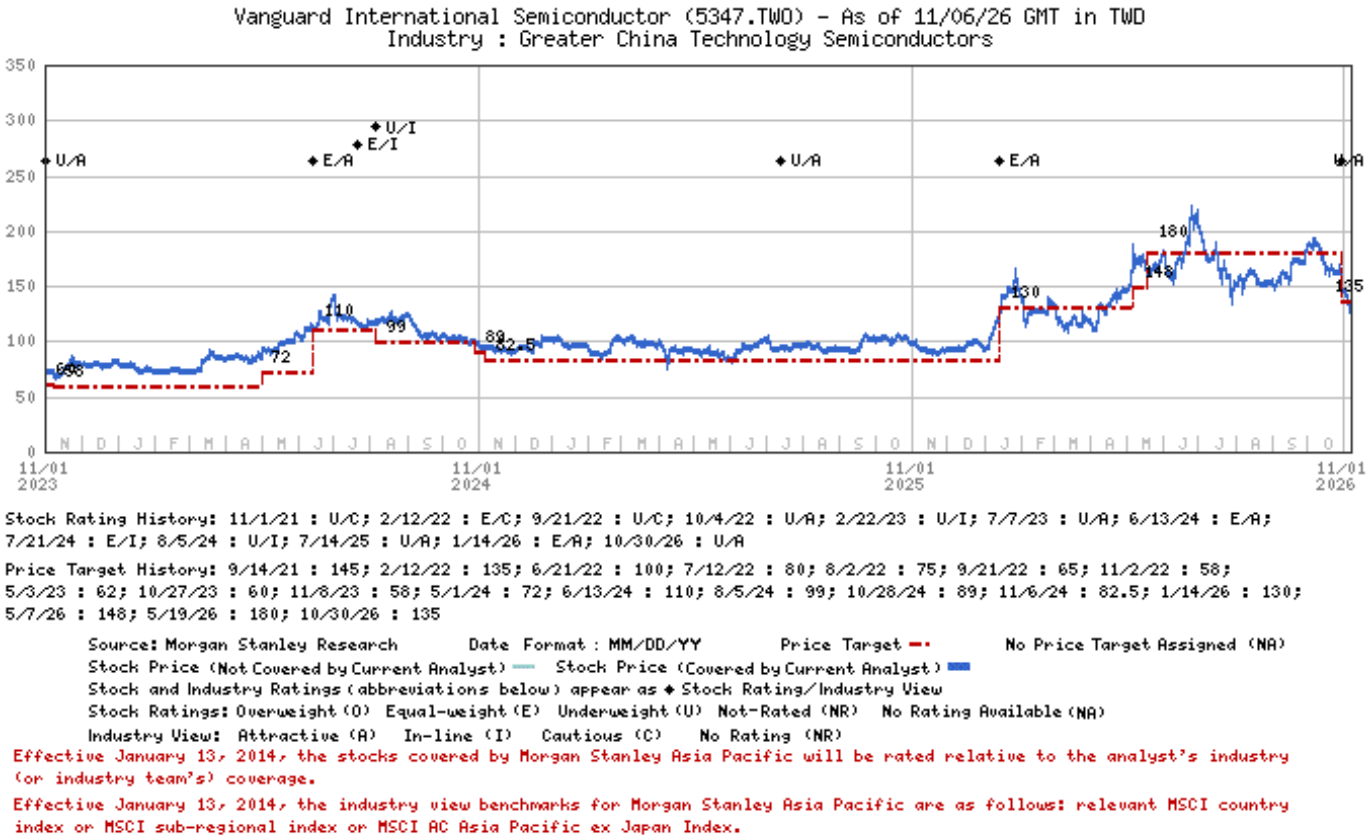
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$90.30
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$2,830.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$527.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb802.90
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb40.41
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$6,205.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$384.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$70.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$60.95
MediaTek (2454.TW)	O (11/28/2025)	NT$3,390.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb492.54
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$343.50
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,500.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb80.81
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$389.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.58
TSMC (2330.TW)	O (02/07/2022)	NT$2,135.00
UMC (2303.TW)	O (05/19/2026)	NT$92.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$120.00
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$406.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$93.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb48.81

Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb93.65
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.77
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb189.50
Innoscience (2577.HK)	E (10/13/2025)	HK$25.92
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb52.51
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$22.12
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.20
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb81.86
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb69.71
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.40
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb18.24
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb73.41
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$608.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,160.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$11,375.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$79.10
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$115.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$1,885.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb159.60
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb239.49
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$7.68
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$75.80
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$183.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb150.10
Novatek (3034.TW)	U (02/04/2026)	NT$495.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$88.90
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$385.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$52.90
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$708.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb63.30
Silicon Motion (SIMO.O)	O (05/06/2024)	US$156.27
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$120.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$90.20
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$185.50
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$39.31
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb254.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb52.33
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb560.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.60
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$864.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$360.50
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$512.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$3,675.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$206.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$3,445.00

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